



THE RECENT CORRECTION in the Indian markets has led many mutual fund investors to take cover in safer, fixed-income instruments as they look to tide over the storm. This comes even as the sharp ups and downs in equity and debt markets have spooked foreign portfolio investors (FPIs), who have shifted between risk-on and risk-off sentiment.

Debt funds, which primarily invest in fixed-income securities like government and corporate bonds, offer investors stable returns with lower risk than investments in equity-oriented funds. Though not as popular as equity-oriented funds, they have seen a huge shift in flows in the financial year 2024-25 (FY25), compared with FY24.

Data from the Association of Mutual Funds in India (AMFI) shows that while debt funds saw net outflows of ₹23,097 crore in FY24, the trend has reversed so far in FY25 with an impressive net inflow of ₹3.41 lakh crore inflow till February 2025.

Apart from the correction and the shift to safer investment avenues, this has also been aided by the inclusion of the Indian government's bonds on the JP Morgan Emerging Markets Bond Index Global.

BETTER THAN EQUITY

The performances of Indian equity and debt mutual funds in the three months and one year to March 11 stand in stark contrast.

Data available from Value Research shows that the equity funds saw a steep decline of 14.76% in average returns in the three months to March 11, whereas debt funds delivered an average return of 1.54%. The sharp drop among equity funds was seen in the small-cap

category, whose returns fell by 21.41%, followed by mid-cap, which fell 18.04%. In contrast, debt funds provided consistent short-term returns, with the Debt: Others category providing 3.36%, followed by credit risk at 2.74%. The Debt: Others category includes fund of funds (FoF) of debt ETFs, and debt arbitrage funds, among others.

In the year to March 11, debt funds outperformed equity funds with average returns of 7.53% compared to equity's modest 0.27%. Here, too, the Debt: Others category gave the highest annual return at 9.79%.

VOLATILE INFLOWS

A significant factor that has shaped recent market movement is the wild fluctuation in foreign portfolio investment (FPI) flows to India over the last few years.

FPIs invested ₹1.01 lakh crore in Indian equities in 2019, per National Securities Depository Limited (NSDL) data, indicating confidence in the country's growth story. The following year, investments surged to ₹1.7 lakh crore, despite a major outflow from Indian debt instruments like government and corporate bonds. Then, in 2021, there was a sharp decline in inflows to ₹25,752 crore, suggesting growing caution.

By 2022, FPIs turned net sellers in Indian equities, pulling out ₹1.21 lakh crore, due to global uncertainties such as rising inflation and geopolitical risks. In 2023, optimism returned, leading to a strong rebound with inflows of ₹1.71 lakh crore. By the next year, the looming global uncertainty became clear as net FPI inflows were a paltry ₹427 crore. That has turned to a full-blown pullback by FPIs so far this financial year as they have withdrawn ₹1.35 lakh crore.

While equity investments saw extreme fluctuations, investments in debt instruments have shown a clear upward trend in recent years after initial jitters. In 2019, FPIs invested ₹25,882 crore in the Indian debt markets. In 2020, there was a major outflow of ₹79,648 crore. The following two years, 2021 and 2022, witnessed minor net flows of ₹22,527 crore and an outflow of ₹12,120 crore, respectively.

A significant shift occurred in 2023, with a strong return to debt markets, as FPIs invested ₹60,214 crore. The trend continued in 2024, which saw the highest-ever surge, with FPIs pouring in ₹1.53 lakh crore. That momentum has continued into 2025, with inflows of ₹28,331 crore so far.

Devang Shah, Head of Fixed Income at Axis Mutual Fund, attributes the surge in debt investments in 2024 to India's inclusion in the JP Morgan Global Bond Index. While FPI flows have also driven bond yields lower, "This has definitely benefited debt funds as long